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THE SHERMAN ACT AND LABOR DISPUTES: II.

X. RESTRAINTS OF TRADE AT COMMON LAW

The foregoing review of the Sherman Act cases decided by the Supreme Court up to 1911¹ presents a number of questions. First and foremost among the questions is: Has the decision in the *Standard Oil* case² overruled the decision in the *Danbury Hatters'* case?³ Since Justice White specifically stated in the *Trans-Missouri* case⁴ that the inclusion of labor disputes within the purview of the Sherman Act depended upon a broad construction of the Act, and since Chief Justice Fuller expressly stated in *Loewe v. Lawlor*⁵ that that case *was* decided on a broad construction of the Act, and since the Court had expressly repudiated the broad construction and reestablished a narrow construction, in the *Standard Oil* and *American Tobacco*⁶ cases, are labor disputes no longer within the purview of the Sherman Act? The next important question is: Does the adoption of the common law as the standard whereby the "wrongfulness" of an agreement or combination is to be judged mean the same thing as the adoption of the Rule of Reason? In other words, does the theory that the Sherman Act enacted the common-law rule of restraints of trade mean that the judges are left free to decide as to the reasonableness of any combination or agreement, and that they may, therefore, declare "good" trusts to be *reasonable* while holding "bad" trusts to be *unreasonable*? Coming back to our own subject, the problem may be presented thus: Does the contention that labor disputes are not within the purview of the Sherman Act necessarily involve the adoption of a rule which makes that Act inapplicable to so-called good trusts? Another question directly concerned in our present inquiry—a question partly but not entirely included in our first question—is: Would the adoption of the common law as the standard of "wrongfulness" under the Sherman Act necessarily exclude labor disputes from the operation of that Act, in view of the declaration of the Court in *Loewe v. Lawlor* that the combination there under consideration was illegal at common law?

¹ See Boudin, *The Sherman Act and Labor Disputes: I* (1939) 39 COLUMBIA LAW REV. 1283.

² *Standard Oil Co. v. United States*, 221 U. S. 1 (1911), discussed in Boudin, *op. cit. supra* note 1, at 1329 *et seq.*

³ *Loewe v. Lawlor*, 208 U. S. 274 (1908), discussed in Boudin, *op. cit. supra* note 1, at 1319 *et seq.*

⁴ *United States v. Trans-Missouri Freight Association*, 166 U. S. 290 (1897), discussed in Boudin, *op. cit. supra* note 1, at 1302 *et seq.*

⁵ 208 U. S. 274 (1908). See note 3, *supra*.

⁶ *United States v. American Tobacco Co.*, 221 U. S. 106 (1911), discussed in Boudin, *op. cit. supra* note 1, at 1329 *et seq.*

All of these questions are so bound together that it is hard to answer one without discussing matter pertaining to the others, and the answer to all of them largely depends on the answer to the question: What *was* the law of restraints in trade at common law? We shall, therefore, proceed to examine that question in some detail.

A. Freedom of Trade

At the very threshold of our examination we meet with the concept of "Freedom of Trade," which was, Chief Justice White assured us, a basic principle of the Common Law.⁷ With all due respect to the great judge who made the assertion and the great Court on whose behalf he spoke, it must be stated categorically that Chief Justice White was drawing upon his imagination rather than upon history. To speak of "freedom of trade" at common law makes just as much sense as to speak of the equatorial heat which prevails in the Arctic Zone.

When the body of law which we denominate the common law was first formulated, or at least embodied in written records (the Year Books) in the later Middle Ages, there was very little trade and certainly no freedom of trade. *Trade was a privilege.* And only those had a right to trade who had that privilege. Foreign trade was the prerogative of the king; and he was the only one who had a *right* to trade, unless he gave part of that right to someone in particular as a special privilege. Internal trade was the privilege of organized groups known as guilds, or some similar organizations which enjoyed special privileges. The world in which the common law was first declared was, with respect to trade, the exact antipodes of the world in which Chief Justice White expounded his Rule of Reason. But the common law, contrary to its own theory of its being, had no definite body of principles and was being remade as constantly as the world in which it was applied was changing. The law quoted by Chief Justice White from Coke is as different from the law of the early Year Books as it is from our own.

But how about the law as expounded by Coke? Sir Edward Coke, Lord Chief Justice of England in the reign of James I, was undoubtedly a very important figure in the development of our law. As author of *The Reports*, a collection of cases then recently decided, and of *The Institutes*, a statement of rules gleaned from the *Reports*, both of which drew largely from the generally inaccessible Year Books, Coke was, for many years, supposed to have been a great legal reporter and historian, as well as a man learned in the law. However later research has shown that he was an utterly unreliable historian—as unreliable as

⁷ See Boudin, *op. cit. supra* note 1, at 1331 *et seq.*, 1335.

Sir William Erle,⁸ and for the same reasons. His real importance was that of a law *maker*. His reports are important not because they correctly reported the law as it *had been* from time immemorial, but as it was *coming to be*, and was likely to be for a long time in the future.

Bearing this in mind, we may now turn to the law as laid down by Coke, and to what has happened to it since. By way of introduction to the latter we may quote a great legal scholar and legal historian, Sir Frederick Pollock. In his famous work on contracts, Pollock introduces our subject as follows:

"Agreements in restraint of trade.—This class of cases presents a singular example of the common law, without aid from legislation and without any manifest discontinuity, having practically *reversed its old doctrine* in deference to the changed conditions of society and the requirements of modern commerce."⁹

This is an accurate statement of what really occurred between the decisions in the cases upon which Coke based the dictum quoted by Chief Justice White, and the decision in *Mogul Steamship Company v. McGregor*¹⁰ also quoted by Chief Justice White.¹¹ It was not the *expansion* of a doctrine, *but a complete reversal*. And the reversal does not refer only to the *rule* with reference to restraints of trade, but involves the entire body of doctrines applicable to trade. To put it bluntly: Coke never dreamed of the doctrine of freedom of trade which Chief Justice White expounded in the *Standard Oil* case on the basis of the *McGregor* case.

But did not Coke, as well as Hawkins a century later, speak of "*freedom of trade*"? The answer to this lies in the fact, implied although not expressly stated by Pollock, that in reversing the law, the courts continued to use the old terminology. In other words, when Coke says "*freedom of trade*" and Chief Justice White says "*freedom of trade*", they not only mean *different* things, but *opposite* things. When Coke says "*freedom of trade*", he means *the privilege of trading*, and so does Hawkins. The simple, though very little known, fact is that in the English law of trade "*freedom*" as well as "*liberty*" means "*privilege*". Even the dictionaries say so.¹² But we need not go into long

⁸ See III STEPHEN, HISTORY OF THE CRIMINAL LAW OF ENGLAND (1883) 223, quoted in Boudin, *op. cit. supra* note 1, at 1324.

⁹ POLLOCK, PRINCIPLES OF CONTRACT (10th ed. 1936) 391, 392 (italics added).

¹⁰ [1892] A. C. 25.

¹¹ See Boudin, *op. cit. supra* note 1, at 1332.

¹² WEBSTER'S NEW INTERNATIONAL DICTIONARY (2d ed. 1936) contains the following definitions of "*freedom*" and "*liberty*":

"Freedom . . .

discussions of legal linguistics, for upon close examination we shall find this stated by both Coke and Hawkins in the very passages quoted by Chief Justice White, which we have set out above.¹³

It will be remembered that Coke did not say that there is such a thing as freedom or liberty of trade generally, as Chief Justice White seemed to think. What Coke said is that the king has no right to create a monopoly which would take away from persons or bodies politic or corporate any freedom or liberty of trade "*that they had before*".¹⁴ And the same is true of Hawkins: He defined monopoly as a grant by the king to a particular person of the sole right of trading in a commodity whereby another person would be restrained from any freedom "*which he had before*".¹⁵ The meaning of both passages is plain to anyone familiar with the common law as it existed when these passages were written: "*Freedom*" as well as "*liberty*" here mean *privilege*. In Coke's day the right to trade was distinctly a privilege, although Coke himself was engaged in the laudable endeavor of changing the law by limiting the privilege as far as possible, as we shall see further below upon examining the cases decided by him.¹⁶ *Privilege* was apparently still the law of trade, in the main, in Hawkins' day, a hundred years after Coke had started on his job of changing the law of England to conform to what he considered ought to be the rights of individuals in a changing economic world.

That Coke was not a revolutionary, ready to announce revolutionary principles, but only a reformer trying to change the law *somewhat* to conform to changed conditions, is clear from *The Reports*. Those who speak of Coke's alleged doctrine of freedom of trade usually refer to two cases, the so-called "great" *Case of Monopolies*¹⁷ and the *Case of the Tailors of Ipswich*.¹⁸ The *Monopolies* case has no application whatever to our subject. The *Ipswich Tailors* case will be discussed further below in another connection.¹⁹ At this point it is important to consider a third case, the *Case of the City of London*,²⁰ a case very seldom referred to because it does not fit into the historical

1. possession of the rights or privileges of a member, as of a company, or of a citizen, as of a city or town, . . ."

"Liberty . . ."

7. privilege; exemption; franchise; right or immunity enjoyed by prescription or by grant . . ."

¹³ See Boudin, *op. cit. supra* note 1, at 1331.

¹⁴ *Ibid.*

¹⁵ *Ibid.*

¹⁶ See pp. 36 *et seq.*, *infra*.

¹⁷ 11 Co. 84b, 77 Eng. Rep. 1260 (K. B. 1602).

¹⁸ 11 Co. 53a, 77 Eng. Rep. 1218 (K. B. 1614).

¹⁹ See pp. 36 *et seq.*, *infra*.

²⁰ 8 Co. 121b, 77 Eng. Rep. 658 (K. B. 1610).

scheme of most historians who discuss this subject. It is, however, decisive on the point here under consideration.

In that case the City of London sought to recover, in an action in debt, a fine from one Wagoner because Wagoner had maintained a shop in the City of London although he did not have the *privilege* to do so, not being a Londoner; the City had Wagoner arrested on civil process. As already stated, the period here under consideration was a transition period, and the old economic order, the order controlled by the guilds and other "bodies corporate" was under attack and gradually giving way. Mr. Wagoner had apparently decided to make a test case of the right of the City of London to exclude him, an Englishman, from trading in London. He therefore sought a writ of habeas corpus, on the ground that his imprisonment was contrary to law since the rule which excluded him from trading in London, the basis of the suit against him, was illegal. But the City of London was sustained and the writ denied. As reported by Coke:

"In this case it was resolved, that the said custom of London, 'that no person whatsoever, not being *free* of the City of London, shall by any colour, way, or mean whatsoever, directly or indirectly, by himself or any other, keep any shop or any other place whatsoever, inward or outward, for shew or putting to sale of any wares or merchandizes whatsoever by way of retail, or use any trade, occupation, mystery, or handicraft, for hire, gain or sale, within the City of London,' is, upon the whole matter disclosed in the return, a good custom; and that such constitution made according to the custom alleged in the return, upon pain of forfeiture of 5*l.*, was also good.

"And as to that: 1. It was resolved, that there is a difference between such a custom within a city, etc. and a charter granted to a city, etc. to such effect; for it is good by way of custom but not by grant; and, therefore, no corporation made within time of memory can have such privilege, unless it be by Act of Parliament. So a custom, that goods foreign bought and foreign sold within a city shall be forfeited, is good, as appears Dyer, Mich. 10 & 11 Eliz. 279, but such privilege cannot begin by charter. And, therefore, in the Fifth Part of my Reports, Trin. 41 Eliz. between Waltham and Austin, *in Communi Banco*, the case was, that King Henry VI granted to the Corporation of Dyers in London, power to search, etc. and if they found any cloth dyed with logwood, that the cloth should be forfeited; and it was adjudged, that by the patent no forfeiture can be imposed on the goods of a subject, . . ."²¹

This case shows the law as it had been before Coke, and as Coke and his brethren on the bench were reforming it through the limitation of the right to claim privilege to those privileges which had been established by custom or act of Parliament, and the exclusion of those which had been granted by the king in recent years. Note, also, the use

²¹ *Id.* at 124b, 77 Eng. Rep. at 662 (italics added).

of the word "free" in connection with trade—meaning privilege to trade. In this connection, we should note here a gloss of Sir Frederick Pollock's to the *Ipswich Tailors* case, which is to be discussed further below. The gloss runs as follows:

"It must not be assumed that a medieval court would have accepted the opinion that being *free* of a given trade, say at York, carries with it, as a matter of right *the like freedom at Ipswich*."²²

Note, also, that "foreign" as used by Coke means outside of *London* and not outside of the *realm*.

B. Boycotts

We have stated that boycotts, or at least certain boycotts, were illegal at common law. It is important to note, however, that whatever the law of boycotts, *it was not part of the law of restraint of trade*, but rather part of the law of injuries to persons, although it subsequently became part of the law of trade unions by statute. And that, when handled by such historians as Sir William Erle, led to no little confusion. The distinction is, however, all important in our connection, and must not be overlooked. It is interesting, therefore, to note that Sir Frederick Pollock deals with the subject of restraints of trade in his work on *Contracts*, while the question of boycotts is treated in his work on *Torts*. And in that latter work he says:

"It is submitted that the discussion would be materially simplified if it were understood that *all damage wilfully done to one's neighbour is actionable* unless it can be justified or excused; for which opinion, as we have already seen, there is high authority. Conspiracy would then appear as matter of aggravation, or as enabling persons acting together to inflict damage which merely individual action could not have inflicted; and instead of asking whether malice was part of a cause of action, we should ask in what cases good intentions, or reasonable and probable cause (such as the defence of some lawful trade interest), are a justification or a step toward justification."²³

That is, boycott is not part of the law of public trade, but of the law of private wrong, based upon malice, actual or presumed.

C. Capital and Labor

Another important point deducible from an examination of the history of our subject, and which must always be borne in mind, is that the subject of restraints of trade, *properly so-called*, deals exclusively

²² POLLOCK, PRINCIPLES OF CONTRACT (10th ed. 1936) 395, n.(p) (italics added).

²³ POLLOCK, THE LAW OF TORTS (13th ed. 1929) 337 (italics added).

with questions of capital—or rather *business*—and has no application to labor as such. It is a sad commentary on the way labor cases are usually argued, that we cannot recall this point to have ever been clearly brought out in any brief submitted on behalf of labor, at least not in the cases argued in the Supreme Court. It was, however, referred to—casually, of course, since it was not *their* business to stress the point—by some of the able lawyers who appeared on behalf of corporate wealth in trust cases. We shall note here, first of all, a remark made by Mr. H. W. Chaplin in his argument on behalf of the cash register trust in *United States v. Patterson*,²⁴ to the following effect:

“Trade statutes have at different times been passed in various jurisdictions. Some of them have been aimed at labor, some at capital, *but the distinction between legislation against labor and legislation against capital has always been patent upon the face of the statutes. The ancient legislation against monopolizing and engrossing was legislation against capital.*”²⁵

And we should like to add by way of elucidation of Mr. Chaplin’s meaning that as far as we could discover, none of the statutes dealt with capital and labor together, but that there were two distinct lines of statutory enactments, one referring to capital and the other to labor. The assumption that the Sherman Act dealt with both would, therefore, involve the assumption of a complete departure from previous practice as established both in England and in this country.

Even more important is a statement made by Mr. James C. Carter, in his argument in the *Joint Traffic Association* case.²⁶ Mr. Carter was a leader of the American bar, a scholar of note, and in the habit of choosing his words carefully. And he said:

“Agreements for combinations among persons engaged in the same employment, to promote their supposed interests,—as, of laborers and employers, or merchants, or tradespeople, have rarely, if ever, been styled agreements in restraint of trade.”²⁷

We shall discuss further below²⁸ the reservation implied in the words “rarely, if ever”, and will show that at least as far as labor is concerned the reservation, while properly made, is of no importance, since the brace of cases which might require a careful writer to make the reservation are part of the Erle concept of the common law and

²⁴ 55 Fed. 605 (C. C. D. Mass. 1893), discussed in Boudin, *op. cit. supra* note 1, at 1293 *et seq.*

²⁵ 55 Fed. at 622 (italics added).

²⁶ *United States v. Joint Traffic Association*, 171 U. S. 505 (1898), discussed in Boudin, *op. cit. supra* note 1, at 1302 *et seq.*

²⁷ See same case, reported in 43 L. Ed. 259, at 266.

²⁸ See pp. 44 *et seq., infra.*

have been utterly discredited. And now a few remarks in elucidation of this statement. It does not mean that when merchants enter into an agreement directed against the public at large, their real or supposed interest would take them out of the field of restraints of trade, but merely that when persons in the same *employment* organize as such, either as employers or employees, in order to be in a position to protect their real or supposed interests against another group of people with whom they deal in their capacity of belonging to that employment, such agreements or combinations have never been held to be within the field of the law covered by the concept of restraints in trade.

D. What Is a Restraint of Trade?

Mr. Carter's observation leads us directly to the question: What is a restraint of trade? Upon a careful examination of all of the cases at common law dealing with the problem, it will be found that the common denominator which binds them all together is that the banned restraints are those in which the parties acting "in restraint of trade" impose restrictions upon *themselves*. This common denominator is their essence, whether they fall under the rubric of *agreements*, or that of *combinations or conspiracies*. Mr. Justice Holmes, in his opinion in the *Northern Securities* case,²⁹ speaking of agreements, combinations and conspiracies in restraint of trade as used in the Sherman Act, says:

"I stick to the exact words used. The words hit two classes of cases, *and only two*,—Contracts in restraint of trade and combinations or conspiracies in restraint of trade, and we have to consider what these respectively are. *Contracts* in restraint of trade are dealt with and defined by the common law. They are contracts with a stranger to the contractor's business (although in some cases carrying on a similar one), which wholly or partially restrict the *freedom of the contractor* in carrying on that business as otherwise he would. . . . Contracts in restraint of trade, I repeat, were contracts with strangers to the contractor's business, *and the trade restrained was the contractor's own*.

"Combinations or conspiracies in restraint of trade, on the other hand, were combinations *to keep strangers to the agreement out of the business*."³⁰

To which must be added that while the object and purpose of a combination or conspiracy in restraint of trade was to keep strangers to the combination out of the business engaged in by the parties to it, *the means employed were restraints which they imposed upon themselves in the conduct of their own business*. This is best illustrated by the facts in the case of *Montague & Company v. Lowry*,³¹ in which the

²⁹ *Northern Securities Co. v. United States*, 193 U. S. 197 (1904), discussed in Boudin, *op. cit. supra* note 1, at 1312 *et seq.*

³⁰ 193 U. S. at 403-404 (italics added).

³¹ 193 U. S. 38 (1904).

Court was unanimously agreed that the combination was within the purview of the Sherman Act, and by the situation in the cases of *Hopkins v. United States*³² and *Anderson v. United States*,³³ in which there was a disagreement in the Court, but only as to whether or not the subject matter of the restraint was interstate commerce. Upon examination it will be found that in each of these cases the parties to the combination or conspiracy agreed to impose *restrictions upon themselves in the conduct of their own business*, as a means of keeping strangers out of the business. In the *Hopkins* case, for instance (and the *Anderson* case was substantially similar), the parties to the combination imposed restrictions upon themselves in the conduct of their own business by limiting it, first of all, to members of the combination—*i.e.*, depriving *themselves* of the right to do business with the outside world; and then by depriving *themselves* of various rights which they would have had if they had been free of the restrictions imposed by the combination: such rights as to employ any number of solicitors, or to offer certain inducements to customers; and, most important of all, by limiting their own right as to the *charges* which they could make to their customers for their services. In the *Montague* case the members of the combination imposed upon themselves similar limitations as to *their own right* to do business. The *Addyston Pipe* case³⁴ was no different: There, also, the parties to the combination restricted *their own right* to do business, by depriving themselves of the right to do business in each other's territory insofar as territory was allocated between the members to the combination, and as to the *manner* in which they could do business insofar as so-called "free" territory was concerned, by having to pay to the other members of the combine a "bonus" for the right to do a particular piece of business.

It is true, of course, that the objections to *agreements* in restraint of trade on the one hand and *combinations* and *conspiracies* in restraint of trade on the other were not the same, as was pointed out by Mr. Justice Holmes: In the one case it was the injury to the person who deprived himself of the right to engage in the business that was the concern of the law, while in the other the law was not concerned with the injury to the parties to the combination, but to *others*. But we are not concerned, at this point, with the *reasons* which made the restraints of trade objectionable, but with their *meaning*. And when their meaning is gathered from a careful analysis of the cases, it will be found that Mr. Carter was absolutely correct when he asserted (leaving out

³² 171 U. S. 578 (1898), discussed in Boudin, *op. cit. supra* note 1, at 1307 *et seq.*

³³ 171 U. S. 604 (1898), discussed in Boudin, *op. cit. supra* note 1, at 1307 *et seq.*

³⁴ *Addyston Pipe and Steel Co. v. United States*, 175 U. S. 211 (1899).

the reservation of the “rarely, if ever”) that the law of restraint of trade was not concerned with combinations in which people of a trade combined for the purpose of being in a better position to bargain with others who, although in the same industry, were not in the same *employment*. It should be remembered in this connection that the “strangers” who were to be affected by the combination in restraint of trade as defined by Mr. Justice Holmes meant strangers to the contract who wanted to engage in the same business as the “contractors”—that is, *enter into competition with them*. In other words, the difference between agreements in restraint of trade on the one hand and combinations or conspiracies in restraint of trade on the other was merely that in the one case the restraint was *entirely voluntary*, in that only the person who had agreed to be restrained was restrained, while in the other the agreement was partly voluntary and partly involuntary, in that the voluntary restraints imposed upon themselves by the parties to the combination had the purpose and effect of involuntarily restraining others from entering into the business. But whether voluntary or involuntary, the restraint was always *a restraint of competition*.

E. Why Are Restraints of Trade Unlawful?

The last statement brings us to the heart of our problem, namely, the reasons why restraints of trade were considered unlawful at common law. It is true that the common law knew nothing of “freedom of trade” or “liberty of contract” in our sense of these terms. Instead of being free, trade was regulated either by custom or by statute as far as the common law was aware. But for that very reason it was opposed to other *regulation*, either by individuals or by groups. It was particularly opposed to a liberty of contract which would permit people to impose or enforce regulations not imposed by the law, customary or statutory, but by agreement among private parties. Such private regulations were considered inimical to the public welfare for two reasons: first, because the community was interested in everyone having a chance to make a livelihood by the exercise of his “*lawful*” trade, that is to say, the trade which the law or custom gave him the privilege or right to exercise. And, second, because combinations or conspiracies in restraint of trade had the baneful tendency to raise the price of commodities. This latter was considered against the public interest—since the common law, ignorant of the blessings of the freedom of trade in our sense, was totally unaware of the “profound conception as to the inevitable operation of economic forces”, and did not, therefore, believe that when left to themselves these economic forces would establish an “equipoise or balance” between the various groups in the community,

or between the interests of the community and those of the individual. It was, therefore, ready to sacrifice "the rights of individuals" in favor of the public weal.

This brings out another point which must be emphasized, namely, that the entire subject of restraints of trade deals with the *public interest* and not with the *rights of individuals*. When the law said that no one had the right to make an agreement to restrain his own right to do business, it was, as is abundantly proved by the cases on the subject, because the public interest was deemed to be affected by the fact that one of its members is deprived of the opportunity to pursue his trade or vocation, and not because the individual was possessed of that right. The public interest was so strong that even the fact that the restriction had been voluntarily imposed upon himself by the individual did not weigh sufficiently in the balance to make the agreement legal. This is elaborately stated in the case of *Mitchel v. Reynolds*,³⁵ quoted by Mr. Justice Holmes in this connection, and the leading case on the subject. *A fortiori*, when the imposition was involuntary, there was nothing to weigh against the public interest in everyone pursuing his "lawful" trade or occupation. But that was not the only concern of the public, and in the case of *combinations* it was by far the least important. As the detailed discussion of what was actually banned by the common law will demonstrate, by far the most important consideration with respect to combinations or conspiracies in restraint of trade was *their power to raise prices*, and the fact, proven by experience, that *their purpose usually was to raise or maintain prices*. In other words, the interest which the common law evinced in *competition* was not some abstract notion of the rights of individuals either to *trade* or to *contract*, but the practical concern, based upon solid experience, *that the lack of competition among traders meant high prices to the public*.

F. In What Prices Is the Public Interested?

We may next inquire into the question: Is the public interested in *all* and *every* kind of price or only in certain kinds of prices? And the answer must be, that at least as far as the common law is concerned, the public is only interested in the prices charged by *traders* and not in those charged by *producers*. We have now reached a somewhat controversial subject, into the details of which we cannot enter here. To begin with, at the time when the common law was in its full glory the distinction between producers and traders had not yet fully developed, and except for the distinct categories of laborers and peasants, the line of demarcation between producers and traders was not only a shifting

³⁵ 1 P. Wms. 181, 24 Eng. Rep. 347 (K. B. 1711).

one but hard to locate at any time, many individuals being both. A "tradesman" might be one who sold a commodity which he himself had produced either alone or with the assistance of some apprentices, and a "manufacturer" might denote the same kind of person. But one thing is clearly beyond the possibility of controversy, and that is this: that as far as the *prohibitions of the common law are concerned*, they were confined entirely to traders, and did not concern themselves with producers of any kind, certainly not with *laborers*. There were laws, claimed to have been passed because of special emergencies, such as the Great Plague and similar visitations, which limited the wages of laborers. There were also later statutes penalizing combinations of workingmen. But these were outside the common law. As far as we could discover, the common law did not concern itself with the problem of wages or of the prices charged by other producers for the products of their labor. But it was very much concerned with the problems of *trade* and the prices that *traders* could charge if their power to do so were not restrained by law. The common law, therefore, had very strict rules on the subject of *trade* as it related to or might affect *prices*. These rules must be differentiated from agreements in restraint of trade which were entirely voluntary in the sense that they operated only on those who voluntarily entered into them. The latter were merely void as against public policy, and were "illegal" or "unlawful" only in the sense that they could not be enforced in a court of law. No penalty attached to the making of them. But the law was entirely different with respect to combinations or conspiracies in restraint of trade, that is to say, those acts or agreements which were intended to affect others than those entering into them. And it is interesting to observe that the latter kind referred only to combinations of businessmen or capitalists. This leads us to a detailed examination of the actual rules of the common law as applicable to particular classes of cases.

G. What Was Illegal at Common Law?

As used here, the word "illegal" means in violation of law, and, therefore, penal. What were the laws of trade and commerce the violation of which was *penal* at common law? Blackstone, next to Coke the great authority on English law, has a chapter entitled "Of Offences Against Public Trade". The title is, in itself, significant, indicating that at common law trade was not a *private* but a *public* matter. This chapter is part of Book IV which deals with "Public Wrongs". And the most significant thing is that nowhere in this chapter is there any reference to laborers or workingmen. As Blackstone—who, like Coke, was not only a writer on the law but also a judge—viewed the body of

English law, laborers or workingmen had no place in a discussion of trade or commerce. Not even the statutory regulations of laborers and their wages are discussed in this chapter or anywhere else in Book IV. These statutes, significantly enough, are treated in Chapter XIV of Book I, which is headed "Of Master and Servant". The offences against trade and commerce listed by Blackstone in the chapter dealing with trade, and specifically stated by him to have been offences *at common law*, are *forestalling*, *regrating*, and *engrossing*. The acts constituting these offences, and the reason why such acts were criminal at common law, are thus stated by Blackstone:

"The offence of *forestalling* the market is also an offence against public trade. *This, which (as well as the two following) is also an offence at common law*, was described by statute five and six Edw. VI. c. 14. to be the buying or contracting for *any merchandise* or victual coming in the way to market; or dissuading persons from bringing their goods or provisions there; or persuading them to enhance the price when there: *any of which practices make the market dearer to the fair trader*.

"REGRATING was described by the same statute to be the buying of corn or other dead victual, in any market, and selling it again in the same market, or within four miles of the place. *For this also enhances the price* of the provisions, as every successive seller must have a successive profit.

"ENGROSSING was also described to be the getting into one's possession, or buying up, *large quantities of corn or other dead victuals*, with intent to sell them again. *This must of course be injurious to the public, by putting it in the power of one or two rich men to raise the price* of provisions at their own discretion. And so *the total engrossing of any other commodity, with intent to sell it at an unreasonable price, is an offence indictable and finable at the common law*. And the general penalty for these three offences by the common law (for all the statutes concerning them were repealed by 12 Geo. III. c. 71) is, as in other minute misdemeanors, discretionary fine and imprisonment."³⁶

It will be noticed that while all of the categories of actions described are intended to prevent the raising of prices, it is apparently no offence at common law for producers themselves to raise prices. The prohibitions are directed at *traders exclusively*. Also, they are directed against *the rich*. Not because the common law was particularly anxious to "soak the rich", but because it was only the rich who had it in their power to enhance prices by resorting to practices which worked against the public by improperly enhancing prices to the consumer. Mr. Justice Blackstone's reference to "one or two rich men" has an additional significance, as we view it: the public is only concerned with enhancement of prices by the rich, for that puts it in the hands of the rich to exploit the poor; that is to say, the enhancement by laborers of

³⁶ IV BLACKSTONE, COMMENTARIES *158 (italics added).

the prices of their own labor or the enhancement by producers of the price of their own product, does not exploit the public at large because the vast majority of consumers are also producers. The law need not, therefore, worry about the exploitation of consumers at large by producers at large. It need only concern itself—and it *did* only concern itself—with the exploitation, or the possible exploitation, of the poor by the rich. This was at least as true in 1890 when the Sherman Act was adopted, as it was true when Sir William Blackstone wrote his *Commentaries*, or at the time much farther back when the practices described by him were first declared to be offences at common law. *That* economic situation did not change in the course of the many centuries. Or if it did change, it changed in a direction which accentuated the distinction made by the common law.

H. What Was Void at Common Law?

The policy which made certain trade practices illegal and punishable at common law was supplemented by a policy which declared certain contracts relating to trade *void* because they were considered contrary to the public interest. These were in a substantially different category, but the thought behind them was the same—the preservation of the public interest against encroachments by individuals. The factual difference between the two classes of cases was this: In the class of cases discussed in the preceding section, which were punishable at common law as public offences, we were dealing primarily with the direct problem of the raising of prices; while in the second class of cases the problem was that of the elimination of competition which affected the problem of prices only indirectly. These concerned themselves with voluntary agreements between two individuals that one would not enter into competition with the other. The agreements were generally entered into as part of, or subsidiary to, a larger agreement involving a business transaction whereby the person undertaking not to compete sold or leased something to the party in whose favor the agreement ran. The most typical case was the sale of a business, the agreement of sale containing a *covenant* by the seller not to enter into competition with the purchaser, or the giving by the seller to the purchaser of a *bond* in a given sum conditioned for the payment of that sum in case he entered into competition. Hence the original designation of such agreements, which were long known as “*covenants in restraint of trade*”. Without entering into the niceties of the common law, which at times sought to make distinctions between *bonds*, *covenants*, and ordinary *promises* or agreements, the general rule of law may be stated to have been that *all agreements in restraint of trade were void*. But they were

not "illegal" in the same sense as the offences described in the preceding section. There was no penalty attached to the making or the *carrying out* of such agreement. If *A*, for reasons of his own, agreed not to compete with *B*, and wanted to carry out his agreement, there was no law which would have prevented his doing so, and if he did so that was the end of the matter. But if *A* refused to abide by his agreement, and *B* went to court in an effort to compel him to do so, *B* was certain to fail—the law *refused to enforce the agreement*.

In explanation of the "public policy" which made the courts refuse to enforce such agreements, two reasons were advanced. One was that the public was interested in everyone pursuing his occupation, as he might otherwise become a public charge. In this connection, it must be recalled that when the common law flourished, most people had definite occupations, and when one agreed not to pursue *his* occupation, it was almost tantamount to agreeing to remain idle. And it was usually with the sale of a man's business to which he was bred, and in which he used the talents which he had developed, that such agreements were made. The other reason—peculiarly applicable to businesses in the more modern sense, that is to say, the occupation of buying and selling—was that such agreements curtailed competition, and, therefore, indirectly led to the raising of prices. As time went on the second reason became the more prominent, since this kind of agreement became more common among businessmen in connection with the sale of businesses rather than among "tradesmen" or professionals.

But the same course of economic development which led this class of agreements to be used more frequently in connection with "business", properly so-called, also led to *limitations* of the rule. These have frequently been spoken of as "exceptions" to the rule. But, as will be seen further below, this is an erroneous conception of the legal concepts involved. *There were no exceptions to the rule that agreements in restraint of trade were void*. In course of time, as trading in businesses became more common, the law became aware that certain cases were not within its reason. Thus developed a *limitation which was part of the rule itself*, and not an exception. Specifically, this applied to cases where the "good will" of a business was sold. The notion "good will" as an asset, or property, or article of sale, is, of course, a comparatively modern one. As "good will" came to be recognized as an "asset", the law recognized the fact that the value of such an asset could be *realized* in the event of a sale only if it could be protected by an agreement by the seller not to destroy it by engaging in competition with the purchaser. The courts, therefore, came to recognize the fact that such an undertaking by the seller, where he was paid not only for a stock of

merchandise but also for the "good will" of a *going concern*, was not an agreement in restraint of trade but in furtherance or encouragement thereof—it encouraged people to engage in trade not only for what they were getting out of it while so engaged, but also for the savings they were making in developing a good will which could be sold when the time came for "retirement" or some similar eventuality.³⁷

This brings us to the problem of "reasonableness".

I. Reasonable Restraints at Common Law

Was there such a thing as *reasonable* restraints at common law? Those who have followed carefully the reasoning of the preceding section will have gathered that our answer is—*No!* With all due respect to Chief Justice White and some others who have followed his lead, it must be stated clearly and emphatically that the common law did not know any such monstrosity as a "reasonable restraint of trade". The expression would be, at common law, a *contradictio in adjecto*. Indeed, Chief Justice White, in his opinion in the *Standard Oil* case recognizes this fact, and admits that the agreements or practices which were considered reasonable at common law were *not* considered agreements in restraint of trade.³⁸ But while he recognizes this in certain passages, he sheds this knowledge at other points in the same opinion and speaks as if the common law recognized both reasonable and unreasonable restraints of trade. From this he deduces that there may be good and bad trusts. His error arises from a confusion of terms in taking the words "reasonable" and "unreasonable" out of their rightful places in the perfectly logical common law. When the common law cases are carefully examined, it will be found that nowhere is it stated that there may be a reasonable restraint of trade, or that agreements in restraint of trade are void only when the *restraint* is unreasonable. Wherever the expression "reasonable" or "unreasonable" appears, it appears in connection with the word "agreement", meaning not the restraint but the undertaking. In this connection it must be remembered that *any* agreement sued upon in a court of law had to be *reasonable* in order to be *enforceable*. This rule was not limited to agreements dealing with trade or restraints of trade. Wherever the court discusses the restraints

³⁷ It should be noted that the modern practice of buying businesses either for the purpose of discontinuing them or for the purpose of incorporating them into a chain—both in pursuance to a monopolistic purpose—was then utterly unknown. In those days, one man leaving the business usually meant that another would enter into it. Most frequently the transaction was that of an apprentice buying out his master. That was certainly the fact in the early cases. The old rule would, therefore, certainly not apply to the modern practices as they appear in the cases of the Sugar Trust and similar modern economic institutions.

³⁸ See *Standard Oil Co. v. United States*, 221 U. S. 1 (1911), at 51-59, *passim*.

themselves, instead of the agreement in which they are contained, the adjective "reasonable" is applied not to the *restraint* imposed upon the seller but to the *protection* to which the *purchaser* of the good will is entitled. The limitation to the rule we are here considering is, therefore, not that it excludes "reasonable restraints of trade", but that it permits such undertakings as will give the purchaser of the good will *reasonable protection in the enjoyment of the thing which he bought and paid for*. The standard of reasonableness is to be applied not to the *restraint* but to the *protection*; and it is, therefore, a movable standard, depending upon the thing sold.

Two things follow from what we have just said: In the first place, *there can be no such thing as a combination in reasonable restraint of trade*. The limitation which includes the concept of "reasonableness" does not apply to *combinations*. It never did. And by the logic of the common law rule, including its limitation, it could not. For it dealt exclusively with cases of protection to individual purchasers of the good will of a business. The second thing to be noted is that the reasonableness of the protection is not to be measured by its effect upon trade generally—since the problem of trade generally is no part of the concept of reasonableness—but by its effect upon the particular good will sold. It is clear, therefore, that the rule of reason as announced by the Supreme Court in the *Standard Oil* case, whatever we may think of it otherwise, has not the slightest foundation in the rule or concept of "reasonable protection" which the common law was willing to allow to a purchaser of the good will of a business. This is the reason, perhaps, why Chief Justice White carefully refrained from ever stating in so many words that the common law was the measure of "wrongfulness" under the Sherman Act, even though he continuously refers to the common law as justification for his own rule.

It is equally clear that Mr. Justice Holmes, who did say that "wrongfulness" under the Sherman Act is the same as "wrongfulness" at common law, was wrong in his conclusion in the *Northern Securities* case,³⁹ since his analysis of agreements in restraint of trade completely overlooked combinations to *raise or maintain prices*—which was the obvious purpose of the combination in the *Northern Securities* case—which were always banned by the common law.

J. The Labor Dispute at Common Law

The foregoing examination of the law of combinations and agreements in restraint of trade establishes two general propositions:

First, that the terms used in the Sherman Act had definite technical

³⁹ See Boudin, *op. cit. supra* note 1, at 1318 *et seq.*

meaning at common law—they were “terms of art”. Those judges who, like Mr. Justice Holmes, contended that in construing the Sherman Act these terms must be given the meaning that they had at common law, were, therefore, undoubtedly correct. This would be so even if we did not know that that was the actual intention of Congress. With Senator Hoar’s specific statement that the intention of the Senate Judiciary Committee which framed the bill was to put the “old doctrine of the common law” into the statute,⁴⁰ it would be a flagrant disregard of the intention of the law giver as well as a violation of all canons of statutory construction to hold otherwise.

Second, that under the common law rules relating to combinations and agreements in restraint of trade, *every* combination or agreement which was intended to be reached by the Sherman Act can be reached, and there is no necessity to resort to any broader construction than is warranted by the settled rules of statutory construction in order to achieve the object of the law giver and to effectually meet the evil intended to be eradicated, insofar as that can be done by law.

We have already indicated that if we apply these rules of interpretation—the only ones which we believe to be legitimate—the statute itself excludes its application to labor disputes, so that the resort to the intentions of the law giver as gathered from the debates in Congress becomes only a secondary consideration, an auxiliary to the main argument from the language of the statute itself. We may now turn to a detailed examination of the law of combinations and agreements in restraint of trade as applicable to labor disputes, in proof of that assertion.

1. *Agreements or combinations to raise wages were not illegal at common law.* Strictly speaking, it is unimportant to our inquiry whether combinations of laborers to raise wages were or were not illegal at common law. For the problem before us is not whether they were generally illegal at common law, but, rather, whether they were illegal as *restraints of trade*. The former question becomes important, however, because of the careless way in which some judges and writers have handled the subject of labor combinations. We may recall that one of Chief Justice Fuller’s main arguments in support of his decision in the *Danbury Hatters’* case was the alleged fact that the combination charged would have been banned by the common law, since it fell

“ . . . within the class of restraints of trade aimed at compelling third parties and strangers involuntarily not to engage in the course of trade except on conditions that the combination imposes. . . . ”⁴¹

⁴⁰ See *id.* at 1292-1293.

⁴¹ *Loewe v. Lawlor*, 208 U. S. 274 (1908) at 294. See Boudin, *op. cit. supra* note 1, at 1324.

It was in support of this proposition that he invoked the authority of Sir William Erle. But our examination of the law of combinations in restraint of trade has clearly demonstrated that the objection of the common law to any restraint of competition was due to the effect which such restraints necessarily have on the level of prices. In no case at common law that we can recall has it been held that a combination may be illegal as in restraint of trade merely because it interfered with somebody's business. In this connection it is well to recall again Sir Frederick Pollock's caution against confusing the problems of restraint of trade and the problem of *injuring somebody's trade*, which not only belongs to an entirely different domain of the law but depends on entirely different principles. And if we take the trouble to examine Sir William Erle's work on trade unions—or that of any other writer of his school, for that matter—we shall find that the assumption or assertion that combinations of laborers to raise wages were illegal at common law rests entirely on a misconception of the meaning of certain cases. There are certain reported cases in which it has been held or said that combinations of laborers to raise their wages are indictable at common law. But the meaning of those holdings or dicta has been utterly misconceived. The cases in which these holdings or statements are made deal with a problem of pleading—namely, whether an indictment of laborers for raising their wages need or need not state that the “conspiracy” was *contra formam statuti*. The dicta or holdings were to the effect that such an indictment need not contain that allegation. From this, careless writers have reasoned that a combination of laborers to raise their wages was a criminal offense at common law, in the absence of any statutory prohibition. But this conclusion does not follow at all. There is a rule of the common law that a combination or agreement to do an illegal act is an indictable “conspiracy”. And since 1350 there had been laws against the raising of wages. All that these cases held or argued was that the common law rule referred to above dispensed with the necessity of expressly mentioning the statute in an indictment based upon its alleged violation. That much was settled by no less an authority than Chief Justice Shaw in the famous case of *Commonwealth v. Hunt*.⁴²

Before, however, discussing that very famous opinion, we must call attention to the fact, which we believe extremely significant, that although there were statutes fixing wages, or providing for their being fixed by Justices of the Peace or other official authority, and also statutes dealing with prices of commodities, these two subjects were *never*,

⁴² 45 Mass. 111 (1842).

as far as we can ascertain, treated by the legislator together as constituting one subject matter. On the contrary, these were two separate streams, running parallel to each other, but never joining into one stream as legislation relating to *trade or restraint of trade*. And the only stream which referred to trade *eo nomine* was the stream which related to *traders and merchants exclusively*, and did not include laborers' wages or the prices of agricultural producers. We may now turn to the famous case of *Commonwealth v. Hunt* and Mr. Chief Justice Shaw's great opinion in that case.

Commonwealth v. Hunt was an indictment of the leaders of a shoemakers' union for instituting a strike-boycott—*i.e.*, for attempting to compel an employer to conduct his business on a union or closed-shop basis, by striking or threatening to strike unless he discharged a non-union employee, thereby procuring the discharge of that employee. The form of the indictment is significant. One of its counts alleged that the defendants, being journeymen bootmakers, “did unlawfully assemble, meet, conspire, confederate, and agree together, not to work for any . . . person who should employ any workman not being a member of a club, . . . called the Boston Journeymen Bootmakers' Society, . . . or who should break any of their bylaws, unless such workman should pay to said club . . . such sums as should be agreed upon as a penalty for the breach of such unlawful . . . by-laws; and, by means of said conspiracy, they did compel one W., a master cordwainer . . . to turn out of his employ one H., a journeyman boot-maker, because said H. would not pay a sum of money to said society for an alleged penalty of some of said unjust . . . by-laws.”⁴³ And another count alleged that the defendants, “intending, unlawfully and by indirect means, to *impoverish* one H., a journeyman boot-maker, and hinder him from following his trade, did . . . unlawfully conspire . . . by wrongful and indirect means to impoverish [him]; . . . and, in pursuance of said conspiracy they did . . . unlawfully . . . prevent him . . . from following his said . . . trade . . . , and did greatly impoverish him.”⁴⁴ A third count alleged that the defendants “designedly to prejudice and impoverish one W. . . . and divers other persons, all being *master . . . boot-makers*, . . . employing journeymen, . . . did unlawfully . . . conspire . . . and agree together, by indirect means unjustly to prejudice and *impoverish* one W. . . . and divers others”.⁴⁵ The Court *held* that the indictment did not charge a crime.

⁴³ *Id.* at 113 (italics added).

⁴⁴ *Id.* at 113-114 (italics added).

⁴⁵ *Id.* at 114 (italics added).

The first thing to be noted about this indictment is that, both with respect to the employer and the employee, it was laid strictly as an attempt to *injure a person*, rather than as an *offence against trade*. It apparently did not occur to the prosecuting agency that this strike-boycott could be prosecuted either under the statutes relating to offences against trade or under any common-law doctrine of restraint of trade. The gravamen of the offence both against the employer, and against the employee is injury to a person and not restraint of trade. Injury to a person in his business was clearly an offence at common law. The indictment would, therefore, lie—unless there was an excuse for it such as is suggested in the passage quoted above from Pollock's work on *Torts*.⁴⁶ In other words, the question was whether or not laborers had a right to agree or combine together for the protection of their own economic interest, even though it injuriously affected the interests of others. And this, in turn, depended on the basic question whether laborers had a right at common law to combine for the purpose of raising their wages. The answer of the Court was, that in *our* common law at least, they undoubtedly had such right. Said Chief Justice Shaw:

"The general rule of the common law is, that it is a criminal and indictable offence, for two or more to confederate and combine together, by concerted means, to do that which is unlawful or criminal, to the injury of the public, or portions or classes of the community, or even to the rights of an individual. This rule of law may be equally in force as a rule of the common law, in England and in this Commonwealth; and yet it must depend upon the local laws of each country to determine, whether the purpose to be accomplished by the combination, or the concerted means of accomplishing it, be unlawful or criminal in the respective countries. All those laws of the parent country, whether rules of the common law, or early English statutes, which were made for the purpose of regulating the wages of laborers, the settlement of paupers, and making it penal for any one to use a trade or handicraft to which he had not served a full apprenticeship—not being adapted to the circumstances of our colonial condition—*were not adopted, used or approved, and therefore do not come within the description of the laws adopted and confirmed by the provision of the constitution already cited.* This consideration will do something towards reconciling the English and American cases, and may indicate how far the principles of the English cases will apply in this Commonwealth, and show why a conviction in England, in many cases, would not be a precedent for a like conviction here. *The King v. Journeymen Tailors of Cambridge*, 8 Mod. 10, for instance, is commonly cited as an authority for an indictment at common law, and a conviction of journeymen mechanics of a conspiracy to raise their wages. It was there held, that the indictment need not conclude *contra formam statuti*, because the gist of the offence was the conspiracy, which was an offence at common law. *At the same time it was conceded, that the unlawful object to be*

⁴⁶ See p. 19, *supra*.

*accomplished was the raising of wages above the rate fixed by a general act of parliament.*⁴⁷

This great opinion, a landmark in our law, is important in two respects: first, while it does not expressly repudiate, it at least casts very serious doubts, on the proposition that combinations of laborers to raise wages were illegal at common law, and it certainly exposes the error of those who did make such a deduction from the cases of which the *Cambridge Tailors* case was the chief example, and in which laborers had been indicted for raising their wages without alleging that such act was "contrary to statute". But more important even than that is the specific decision that if there was such common law in England it had never been adopted in this country, and *never was the common law of our land*.

2. *The common law never applied the doctrine of restraint of trade to laborers or labor disputes.* An examination of the actual cases in which the common law doctrine of restraint of trade was invoked, clearly demonstrates that it was never considered applicable to laborers, nor were labor disputes considered within its purview. Without entering upon a detailed review of all of the cases on the subject, it may be said without fear of contradiction that not only was the doctrine never *applied* up to, let us say, 1842, when *Commonwealth v. Hunt* was decided, except in cases relating to *business*, but that it was never even claimed to be applicable. The early cases—the only ones which can be said to be part of the common law both here and in England—illustrate the point.

The first case in which the doctrine appears is the so-called *Dyer's* case,⁴⁸ a case in which a dyer had given a bond not to engage in the dyeing trade. He had broken his agreement and the action was on the bond. The case is rather poorly reported, and the only thing that is quite clear about it is that it involved some kind of a *business transaction*.

The next reported case is that of *Colgate v. Bachele*⁴⁹ which occurred late in the sixteenth century. Again the action was on a bond given in connection with a business transaction, the sale of a haberdasher's shop, with an agreement by the seller not to engage in business in competition with the purchaser. Five more cases arose in the century after the *Haberdasher's Case*, and in so far as we know their facts they all related to *business transactions*.⁵⁰ In one of these cases, that of *Broad v. Jollyfe*, decided in 1621, the Court said:

⁴⁷ 45 Mass. at 121-122 (italics added).

⁴⁸ Y. B. 2 Hen. V, v. 5, pl. 26 (1415).

⁴⁹ Cro. Eliz. 872, 78 Eng. Rep. 1097 (K. B. 1596).

⁵⁰ Rogers v. Parrey, 2 Bulst. 136, 80 Eng. Rep. 1012 (K. B. 1613); Jellicot v. Broad, Noy 98, 74 Eng. Rep. 1064 (K. B. 1620); Prugnell v. Gosse, Aleyn 67, 82 Eng. Rep. 919 (K. B. 1648); Clerk v. Taylors of Exeter, 3 Lev. 241, 83 Eng. Rep. 670 (K. B. 1685); Broad v. Jollyfe, Cro. Jac. 596, 79 Eng. Rep. 509 (K. B. 1621).

"upon a valuable consideration one may restrain himself that he shall not use his trade in such a particular place; for he who gives that consideration expects the *benefit of his customers*; and it is usual here in London for one to *let his shop and wares* to his servant when he is out of his apprenticeship; as also to covenant that he shall not use that trade *in such a shop* or in such a street:"⁵¹

We are clearly dealing with business transactions and nothing else. The same is true of the case which is now considered the leading case on the subject, *Mitchel v. Reynolds*,⁵² decided early in the eighteenth century. That, also, was a case on a bond, the bond having been given to back up an agreement not to engage in business in competition with the obligee within a mile of a certain house, which contained a shop for the sale of liquor and victuals purchased or leased by the obligee from the obligor. And exactly the same situation was involved in the case of *Chesman v. Nainby*,⁵³ which followed close on the heels of *Mitchel v. Reynolds*, even though the agreement not to engage in competition was part of an employment arrangement rather than the sale of a business. The employment, however, was as an assistant in the business of linen draper, and the agreement not to engage in competition referred to that business.

3. *Ipswich Tailors*⁵⁴ and *Geneva Shoemakers*.⁵⁵ Tailors apparently played a rather important role in the history of the law of our subject. But only seemingly so. We have already seen from the opinion of Chief Justice Shaw that the *Case of the Cambridge Tailors* is only considered important because it is generally misunderstood. The same is largely true of other cases in which tailors were involved. Tailors' guilds and tailors' unions were undoubtedly prominent in the economic history of the craft. But the legal prominence which their organizations have attained was largely fortuitous—due, mainly, to misunderstandings by judges and most legal historians as to the real meaning of the cases in which they were involved. This was certainly true of the first tailors' case of which we have a record, the very famous *Case of the Tailors of Ipswich*, reported by Coke. It has been cited frequently for the erroneous proposition that so-called freedom of trade was a basic principle of the common law, and that all agreements or combinations abridging that "freedom" were void at common law as in "restraint of trade". And since the problem of the technical meaning of the term "*in restraint of trade*" has been bound up with the problem of "*Freedom*

⁵¹ Cro. Jac. at 496, 79 Eng. Rep. at 509 (italics added).

⁵² 1 P. Wms. 181, 24 Eng. Rep. 347 (K. B. 1711).

⁵³ 2 Strange 739, 93 Eng. Rep. 819 (K. B. 1727).

⁵⁴ Case of the Tailors of Ipswich, 11 Coke 53a, 77 Eng. Rep. 1218 (K. B. 1614).

⁵⁵ People v. Fisher, 14 Wend. 9 (N. Y. 1835).

of *Trade*" by no less an authority than Chief Justice White through an appeal to the authority of Coke, that case deserves special attention.

The Case of the Tailors of Ipswich was this: Like the cases examined in the preceding section, it was a case on a bond given by the defendant to the Tailors' Guild, conditioned upon the promise of the obligor not to engage in the trade of tailor within the town of Ipswich, the plaintiff claiming a breach of condition. The defense was that the bond was obtained in pursuance of a by-law which did not permit anyone who was not a member of the plaintiff organization to practice the trade of tailor within the town. It does not appear clearly from the case why the defendant should have given a bond not to engage in the tailoring trade or business in the town of Ipswich instead of merely withdrawing from the town, if that was the arrangement. But it does appear that the defendant claimed to have the right to engage in the tailoring trade or business in the town of Ipswich, and that the plaintiffs denied this right, claiming the *privilege* for their own members exclusively. Two things are important to note in connection with the respective pleas: One is that the plaintiffs relied on a charter granted to them by the King, constituting their organization and giving them the right to make the by-laws under which they claimed the privilege in connection with which the bond was given. And the other is that the defendant relied on the fact that he had complied with the statute of 1562, commonly called the Statute of Laborers.⁵⁶ While, as already pointed out, the statutes of laborers did not deal with trade, some of them did deal with more than the question of the wages of laborers. The scope of the statute in question is indicated by its title, which was "An act containing divers orders for artificers, laborers, servants of husbandry and apprentices." Among other things, this statute prohibited the use of "any craft, mystery or occupation" unless the artisan had served an apprenticeship of seven years. The defendant in this case claimed that he had served such an apprenticeship in the tailoring art; and therefore claimed the right to exercise that "craft" or "mystery". In other words, his contention was that the statute was not merely a negative one, prohibiting persons from engaging in the known crafts without serving an apprenticeship, but had a positive side—that the serving of an apprenticeship *entitled one* to exercise the craft in which he had been apprenticed. There was no question, of course, of "illegality" in the sense of a public offence—no one claimed that the action of the Ipswich Tailors' Guild, either in adopting its by-laws or in attempting to execute them was either criminal or tortious. Nor did the defendant claim that there was a general right of free trade, so that everyone had a right to

⁵⁶ 5 ELIZ. c. 4 (1562).

engage in the tailoring craft, business, or occupation. The real point in issue narrowed down to the question of whether or not the by-law adopted by the Guild was such as they had a right to adopt, and could, therefore, serve as a basis or consideration for the giving of a bond. Now there is a well-known principle of the common law that by-laws, in order to be valid, must be reasonable. What is a reasonable by-law depends, of course, upon the condition of the law with respect to the subject-matter which it attempts to regulate. Which brings us to the meat of the case—namely, that the by-law in question was considered from the point of view of a *regulation* of the tailoring craft or industry in the town of Ipswich.

This brings us to another phase of the case. In addition to asserting his right to the exercise of the craft or mystery of a tailor generally, the defendant claimed that he did not come within the purview of the by-law—or, rather, that the Tailors' Society had no right to adopt a by-law applicable to his situation—since he was not engaged in the tailoring business *generally*, but only in doing tailoring work for a private person as his servant or employee. The decision in the case, which was in favor of the defendant, therefore stood on two legs, so to say, since it was based upon both contentions of the defendant. It is of great interest in both respects, as showing how in this transition period the old law with respect to the right to engage in occupations was being limited, while its underlying principles were apparently being maintained.

The most important part of the decision was the distinction which it drew between privileges granted by Act of Parliament or enjoyed by custom, and those recently granted by the king. That Parliament had a right to grant privileges with respect to trades or occupations was unquestioned in Coke's day. Nor did anyone question privileges with respect to commerce, trade, or occupations, which had been established by custom. But the right of the king to grant new privileges was questioned. In this respect the matter was assimilated to the problem of monopolies, the right to grant which had been denied in the famous *Case of Monopolies*.⁵⁷ The right of the Tailors' Guild of Ipswich to adopt rules or *ordinances* governing the tailoring business at Ipswich was denied because their society had been established and their charter granted in recent times. It is in this respect that this case differed from the *City of London* case, in which the decision went the other way.⁵⁸

This brings us to still another aspect of the case. The case was not

⁵⁷ 11 Co. Rep. 84b, 77 Eng. Rep. 1260 (K. B. 1602).

⁵⁸ See pp. 17 *et seq.*, *supra*.

treated as one involving a combination or conspiracy in restraint of trade. Rather, the question was whether or not the Guild had the right to adopt *rules and regulations for the governance* of the Tailoring trade. In other words, the Court treated the case as one presenting a problem of constitutional law—the *validity of an ordinance*—rather than a problem of combination or conspiracy in restraint of trade. This is clear from the following language of Chief Justice Coke in delivering the opinion of the Court:

“And the statute of 5 Eliz. 4, which prohibits every person from using or exercising any craft, mystery or occupation, unless he has been an apprentice by the space of seven years, was not enacted only to the intent that workmen should be skilful, but also that youth should not be nourished in idleness, but brought up and educated in lawful sciences and trades: and thereby it appears, that without an Act of Parliament, none can be in any manner restrained from working in any lawful trade. . . . That the said restraint of the defendant, for more than the said Act of 5 Eliz. has made, was against law; and therefore forasmuch as the statute has not restrained him who has served as an apprentice for seven years from exercising the trade of a tailor, *the said ordinance cannot prohibit him from exercising his trade*, till he has presented himself before them, or till they allow him to be a workman; for these are against the liberty and freedom of the subject, and are a means of extortion in drawing money from them, either by delay, or some other subtle device, or of oppression of young tradesmen, by the old and rich of the same trade, not permitting them to work in their trade freely; and all this is against the common law, and the commonwealth: *but ordinances for the good order and government of men of trades and mysteries are good, but not to restrain any one in his lawful mystery.*”¹⁰⁰

We must not conclude from the language used toward the end of the passage quoted that an ordinance of a trade society, relying on customary right, which excluded non-residents from exercising their trade within the city, would be bad. As we have seen in the *City of London* case, the contrary is true. The importance of this decision, therefore, lies in the fact that it applied the distinction already made in the *City of London* case, thereby limiting the ancient law of privilege there sustained. From now on guild law was operative only with respect to old guilds. It thus opened the way to the practical abolition of guild law without the aid of an Act of Parliament.

There is one more aspect in which this judgment is important. In sustaining the second contention of the defendant, Chief Justice Coke said:

“It was resolved, that the said branch of the Act of 5 Eliz. is intended of a *public* use and exercise of trade to all who will come, and not of him who is a *private* cook, tailor, brewer, baker, etc. in the house of any for the use of a

¹⁰⁰ 11 Co. Rep. at 54a, 77 Eng. Rep. at 1220 (italics added).

family; and therefore if the said ordinance had been good and consonant to law, such a private exercise and use had not been within it, for everyone may work in such a private manner, although he has never been an apprentice in the trade."⁶⁰

This statement throws a flood of light on the common law of trade and trades generally, as well as on the particular subject which we are here considering. *Trade was regarded as a public occupation, and so was the exercise of ordinary trades or occupations.* This was the law not only in Coke's day but also in Blackstone's day, as is evidenced by the fact that the chapter in Blackstone's *Commentaries* dealing with trade is entitled "Of Public Trade". We have discussed this subject at some length elsewhere,⁶¹ and shall, therefore, not go into it here. Suffice it to say, that Coke was pointing to a well-known and basic distinction when he stated that the defendant in the case did not engage in a *public employment*, since he was not what might be called a "common" tailor—that is to say, he did not have a *shop* for the plying of his trade, the public being invited to avail themselves of his services, but was employed as private tailor to a particular person. A "common tailor" was engaged in a *public* occupation. He was, therefore, like any other public *trader*, subject to *the laws of trade*, including the common law rules with respect to agreements in restraint of trade. But a private employee—*i.e.*, a person who worked for a particular employer and not for the public at large as customers—even though he was engaged in the exercise of a "craft" or "mystery", was neither trader nor tradesman within the purview of the common law, and, therefore, not subject to the laws governing or affecting trade.

Such was the law when the *Ipswich Tailors* case was decided in 1614, and such it remained in England as well as in this country for ever afterward. Not that there have not been opinions to the contrary. We have already referred to Sir William Erle's opinion in England. We may now refer to an American case which is frequently cited as establishing the same doctrine in this country, if not exactly on the subject of restraints of trade then at least with respect to combinations of workmen to raise their wages. There were a number of cases in this country between 1806 and 1836 in which it was held, or supposed to have been held, that the common law of England made such combinations indictable conspiracies, and that we in this country had inherited that part of the common law along with the rest.⁶² We have already

⁶⁰ *Ibid.* (italics added).

⁶¹ See Boudin, *Is Economic Planning Constitutional? A Re-Examination of the Concept of Public Interest* (1933) 21 GEO. L. J. 253, 387.

⁶² The cases are collected in DOCUMENTARY HISTORY OF AMERICAN INDUSTRIAL SOCIETY (1910) vols. 3 and 4 (edited by COMMONS and GILMORE).

quoted Chief Justice Shaw's opinion to the contrary. We may now refer briefly to the well-known case of the *Geneva Shoemakers*,⁶³—one of the last of the series of cases just mentioned—decided by the New York Court of Appeals in 1835. It is frequently said that that case had affirmed the doctrine of "conspiracy" with respect to combinations of workmen to raise their wages, as part of the common law in England as well as in this country. That opinion is entirely erroneous. Mr. Chief Justice Shaw has disposed of that case in a brief paragraph in his opinion in *Commonwealth v. Hunt*. Said he:

"One case was cited, which was supposed to be much in point, and which is certainly deserving of great respect. *The People v. Fisher*, 14 Wend. 1. But it is obvious, that this decision was founded on the construction of the revised statutes of New York, by which this matter of conspiracy is now regulated. It was a conspiracy by journeymen to raise their wages, and it was decided to be a violation of the statutes, making it criminal to commit any act injurious to trade or commerce. It has, therefore, an indirect application only to the present case."⁶⁴

The question whether or not this case was properly decided under a statute dealing with injuries to trade or commerce will be discussed further below.⁶⁵ Here it is sufficient to note the fact that it was *not* decided on the basis of the common law applicable to the subject.

4. *A Period of Transition: Pseudo-Common-Law Based on Pseudo-History.* The early Victorian era, like the late Elizabethan and early Stuart era, was a period of transition in English law; and Chief Justice Erle, in his own small way, occupied a position analogous to that of Chief Justice Coke. The transition was not confined to England, however, but had its counterpart in this country. In a way it may be said that it first developed in this country and had its counterpart in England—at least as far as the perversion of the common law is concerned. The reason is not far to seek: when the Industrial Revolution got under way and serious labor disturbances appeared in its wake, England had a body of statutory law ready at hand with which to deal with recalcitrant workingmen. There was no such body of statutory law in this country. Hence the resort to a pseudo-common-law which was the result of either deliberate perversion or gross ignorance of the common law as it actually was. As we have already stated, there was a series of cases in which striking workingmen were prosecuted criminally for conspiracy to raise their wages, on the basis of this alleged common law. The first of these cases occurred in 1806, and the last in 1836. We have already seen that the doctrine of those cases was re-

⁶³ *People v. Fisher*, 14 Wend. 9 (N. Y. 1835).

⁶⁴ *Commonwealth v. Hunt*, 45 Mass. 111, 135 (1842).

⁶⁵ See p. 47 *et seq.*, *infra*.

pudiated by the great American authority, Chief Justice Shaw, in 1842, in *Commonwealth v. Hunt*. The doctrine of *Commonwealth v. Hunt* was gradually adopted in other states, so that by the end of the second third of the nineteenth century it had become fully established in this country. But that was just about the time when the pseudo common law had come to the fore in England—due largely to the efforts of Mr. Chief Justice Erle. The brief and inglorious history of this pseudo-common-law is interesting as well as instructive. In 1851 there were decided three cases in the court of which Sir William Erle was a member—two of them by himself and one of them by his associate, Lord Chief Justice Campbell—in which it was for the first time *asserted* that a combination of workmen to raise their wages was an indictable conspiracy at common law.⁶⁶ The assertions were purely by way of dictum, since the cases before them were concededly governed by statute and did not involve a simple combination to raise wages. Apparently in order to justify these dicta, Mr. Justice Erle appended to the report of one of his cases what purported to be an opinion delivered by Baron Rolfe in 1847, in which a similar dictum had been made. Baron Rolfe's opinion thus published is rather interesting. Said he:

"The law certainly now on this subject, depends, I believe, entirely [that is, the law about the rights of workmen], upon the last statute (6 Geo. 4, c. 129), which has been referred to; before that statute it always having been considered, *whether rightly or not, I will not now say*, that masters might meet to say that they would not give more than a certain rate of wages. When I had first the honour of becoming a member of the profession, that was understood to be the law, that though the masters might meet to fix the rate of wages, the workmen might not. The masters might agree not to give more than a certain sum per day. There was a meeting of coachmakers in London, and at a variety of other places, at which that was done; but for the workmen to meet and say, we will not work unless they will give us 5s. a day, or whatever sum they might demand, that was always held to be illegal, and it struck everybody's mind as being an unjust sort of distinction. *If there is to be any distinction perhaps it ought to be rather the other way*, and being felt to be an injustice, the law was altered about twenty years ago."⁶⁷

Two things should be noted about Baron Rolfe's opinion as contained in the above passage. In the first place, Baron Rolfe was not at all sure that the opinion which he said was current at the time he arrived at the bar was correct. That could not have been the case if there had been actual adjudications to that effect. Apparently, it was either a reflex of opinion which was then current in this country, or else was

⁶⁶ *Regina v. Hewitt*, 5 Cox C. C. 162 (Q. B. 1851); *Regina v. Duffield*, 5 Cox C. C. 404 (Q. B. 1851); *Regina v. Rowlands*, 5 Cox C. C. 435 (Q. B. 1851).

⁶⁷ *Regina v. Selsby*, 5 Cox C. C. 495, 496 (1847), reported after *Regina v. Rowlands*, 5 Cox C. C. 435 (Q. B. 1851).

part of the movement which found its spearhead in Mr. Justice Erle and his associates, which was really an effort to restate the law in accordance with entirely new principles, *principles utterly foreign to the common law*. Mr. Baron Rolfe himself was apparently not part of that movement, because he says that if there were to be any distinction as to masters and workmen, the distinction ought to be the other way.

But more important is the fact that according to this version of the law it was applicable to *workmen only* and not to masters. "The masters" says Baron Rolfe "might agree not to give more than a certain sum per day. There was a meeting of coachmakers in London, and at various other places, at which that was done." Clearly, therefore, if there was such a rule of law, it was not part of the law of trade, *and had nothing to do with agreements or combinations in restraint of trade*. The fact is, of course, that there was no such rule at common law; and that the reason for the difference noted by Baron Rolfe, which undoubtedly existed, was that workmen could be proceeded against under the various statutes then in existence, or a combination of statutes and common law rules such as was invoked in the *Cambridge Tailors* case.

The Erle-Campbell cases, which were "criminal conspiracy" cases, were followed by a civil case in which the question of agreements in restraints of trade came for the first time in contact with a labor dispute. The case was a curious one in itself, and had certain curious consequences. We have heard Baron Rolfe say in the *Selsby* case⁶⁸ in 1847 that the masters had a perfect right to agree among themselves not to employ workers except at a certain wage, and that they had done so in various places. Apparently a common practice, it seems to have been varied in one case, which brought the matter into the courts. In this case an association or combination of employers had instituted what would now be called a lockout, and in order to guard against defections, each executed a bond in the penal sum of £500 conditioned upon his complying with the rules of the association or combination with respect to the employment of labor. The bond recited that the obligors had agreed to carry on their works, in regard to the amount of wages, the times of the engagements of work people, the hours of work, and the *suspending* of work, and the general discipline and *management* of their works, for twelve calendar months, in conformity with the resolutions of a majority of the obligors present at any meeting; and that the bond was given in order to carry that agreement into effect. The *condition* of the bond was that if the obligors, for twelve calendar months, should carry on, or wholly or partially *suspend* carrying on their works,

⁶⁸ See note 67, *supra*.

in regard to the matters aforesaid in conformity with the resolutions of the majority of the obligors, then the bond was to be void, otherwise, *etc.* In an action brought upon condition broken the bond was held invalid.⁶⁹

It will be observed that although in this case the doctrine of restraint of trade was invoked in a labor dispute, the bond was held invalid, not because of the restraint involved in the labor dispute, that is, in the dispute between the employers and the employees, but because the bond was conditioned upon a restraint by the employers of *their own business* by giving to a majority of the associated employers the power to *control* the manner in which they could conduct their business, even to the extent of ordering a *suspension or cessation of that business*.

The case of *Hilton v. Eckersley*⁷⁰ had some unexpected results in another field in a brace of cases decided in 1867 and 1869, which may be referred to as the *Close* cases.⁷¹ The defendant in these cases had absconded with the funds of a trade union of which he was the treasurer, and action was brought against him under a statute known as the Free Societies Act which enabled organizations to proceed summarily before Justices of the Peace against those who fraudently appropriated their funds. The charge was dismissed on the ground that the trade union was an illegal organization because it fostered *strikes*, and this decision was affirmed on appeal on an equal division of the judges of the appellate court, the judges who were for a dismissal considering that they were bound to do so under the decision in *Hilton v. Eckersley*. That they were wrong in so holding is clear, since *Hilton v. Eckersley* did not decide that employers had no right to combine in order to lock out their workmen as the result of or in connection with an agreement not to pay more than a certain wage; but merely that a bond conditioned upon employers *restraining their own business* by turning over control thereof both as to the manner of prosecution as well as to the continuance of the same to others was unenforcible as an agreement in restraint of trade. The distinction, which is a basic one, was pointed out by the dissenting judges. But the clear reasoning of the dissenting judges was insufficient to overcome the bias of the other two judges, a bias which had become common among English lawyers since the temporary successes and final failure in 1848 of the Chartist movement. This case also illustrates the confusion which necessarily arises when the

⁶⁹ *Hilton v. Eckersley*, 6 E. & B. 47, 119 Eng. Rep. 781 (Q. B. 1855). It should be noted that Mr. Justice Erle, now a member of the court which decided this case, dissented from the decision.

⁷⁰ See note 69, *supra*.

⁷¹ *Hornby v. Close*, 8 B. & S. 175 (Q. B. 1867); *Farrer v. Close*, 10 B. & S. 553 (Q. B. 1869).

problem of labor disputes is approached from the point of view of "freedom of trade". Said one of the dissenting judges:

"No doubt the trade of an employer is restrained when workmen decline to take the wages which he is willing to give, but it must be remembered that the men are traders as well as the employer, and it would be an odd way of promoting freedom of trade to hold it an illegal purpose on their part to endeavor out of their own savings to put themselves in a better position to get what they think a fair price for their labour."⁷²

The chief interest, however, of this case, lies in the fact that it is the only instance in which a labor union was held to be an organization in restraint of trade, and a labor dispute held to come within the purview of the law of restraints of trade. And it is important to remember in this connection that not only was this case decided by an evenly divided court, but that the half of the court which had it in its power to make the decision on appeal, advanced no argument whatever except the alleged authority of *Hilton v. Eckersley*, which clearly did not apply. It is also interesting to note, in closing, that Mr. Justice Erle who was cited by Chief Justice Fuller in the *Danbury Hatters'* case as authority for the proposition that at common law agreements among workmen adversely affecting the trade of employers were illegal as in restraint of trade, was cited as authority *for the contrary proposition* by one of the dissenting judges in the *Close* case. *And we believe properly so.*

As we have already stated, Sir William Erle was a rather poor historian, and some of his assertions with respect to the status at common law of combinations of laborers were undoubtedly incorrect, as is attested by Sir James Stephen.⁷³ But even Erle never said that a combination of workers to cease work or otherwise interfere with their *employer's trade* was illegal at common law *as in restraint of trade, which is the only thing that matters under the Sherman Act.* On that subject he is quoted by one of the dissenting judges in the *Close* case as saying:

"As to combination, each person has a right to choose whether he will labour or not, and also to choose the terms upon which he will consent to labour, if labour be his choice. The power of choice in respect of labour and terms, which one person may exercise and declare singly, many after consultation may exercise jointly, and they may make a simultaneous declaration of their choice, *and may lawfully act thereon for the immediate purpose of obtaining the required terms*; but they cannot create any mutual obligation having the legal effect of binding each other not to work or not to employ unless upon terms

⁷² See 10 B. & S. at 573.

⁷³ See Boudin, *op. cit. supra* note 1, at 1324.

allowed by the combination. Any arrangement for that purpose, whatever may be its purport or form, does not bind as an agreement, but is illegal, *though not unlawful*, on account of restraint of trade, and therefore void.' ”⁷⁴

In other words, Mr. Justice Erle’s position was, that whatever may be the law as to combinations to raise prices under the common law of “conspiracy”, *it is not illegal or unlawful as in restraint of trade, since the law of restraint of trade only operates on the same competitive level, i.e., among competitors for the same trade or the same job*. Neither as a judge nor as a writer did Sir William Erle dissent from the self-evident and—aside from the legal curiosity of the *Close* case—generally accepted professional opinion that the doctrine of restraint of trade is only applicable to cases which restrain competition, and cannot, therefore, be made to apply to ordinary labor disputes, since employers and employees are not in the position of competitors.

This brings us back to *Hilton v. Eckersley* which seems to have wrought havoc with the minds of some English judges, and by reflex action with some American writers on labor law. We have already stated that Mr. Justice Erle dissented from the judgment therein. We must now say a few words as to the real point of difference between the judges in that case. There was, to begin with, no real difference of opinion as to the basic principles of law involved. All the judges agreed that an agreement among cotton spinners—*i.e.*, textile manufacturers—to turn the control of their business over to the representatives of an association to be controlled by a majority vote would ordinarily be in restraint of trade. Nor was there any dissent from the proposition that the doctrine of restraint of trade does not, ordinarily, apply to labor disputes. But here was a curious combination of an agreement by the employers clearly in restraint of trade, but the *purpose* of the restraint was not the ordinary one of controlling prices—which is the public reason for banning such combinations—but the coercion of their employees to accept their terms of employment, *which is a purpose permitted by law*. Mr. Justice Erle looked to the *ultimate purpose*; and, therefore, was of the opinion that the bond was valid, even though it was conditioned upon a clear restraint of trade among the employers themselves. The majority of the court, on the other hand, held that although the ultimate purpose—coercion of people not on a level of competition with the obligors themselves—was a permissible one, the express condition of the bond was a restraint of trade among people who were on the same competitive level. We shall meet this question of immediate effect as contrasted with ultimate purpose again and again in the course

⁷⁴ See 10 B. & S. at 566 (italics added), quoting ERLE, THE LAW RELATING TO TRADE UNIONS.

of our investigation,⁷⁵ and its early appearance as a disturbing factor is worth noting. Apparently, Mr. Justice Erle acquiesced in the majority decision that it is not the ultimate purpose but the immediate effect that governs, since in the excerpt quoted above he states that an agreement among workers to strike would not be enforceable, which is contrary to the position he had taken in *Hilton v. Eckersley*. That problem does not concern us here, however. As to the problem here under consideration, namely, the applicability of the doctrine of restraint of trade to labor disputes proper, all seem to agree that the answer must be in the negative. And but for the freak decision in the *Close* case, it could be said that the opinion was unanimous at all times throughout the entire history of this branch of the law.

5. *The Common Law Comes Into Its Own*. The decision in the *Close* case soon became a mere curiosity of legal history in England. The entire subject was settled by legislation which did away not only with that freak decision but also with Mr. Justice Erle's decisions, as well as with his opinions as a writer on labor law as expressed in his work on Trade Unions. In this country, however, there was no necessity for such legislation, since, as pointed out by Chief Justice Shaw, the supposed doctrines of the common law adopted by the English pseudo-historians were never a part of the common law of this country. As already stated, the doctrines announced by Chief Justice Shaw in 1842 in *Commonwealth v. Hunt* became generally accepted in this country within the next twenty-five years. At about that time there also appeared another noted legal opinion which set the problem at rest not only with respect to the American common law but also with respect to the English common law. In the case, *The Master Stevedores' Association v. Walsh*,⁷⁶ First Judge Daly of the New York Court of Common Pleas finished the job so well begun by Chief Justice Shaw in an opinion remarkable both for learning and precision of statement.

"It is not", said Judge Daly, "*nor has it ever been*, a rule of the common law that any mutual agreement among journeymen for the purpose of raising their wages, is an indictable offense, or that they are guilty of a conspiracy if, by preconcert and arrangement, they refuse to work unless they receive an advance of wages".⁷⁷

And referring to the opinion of Chief Justice Savage in the *Geneva Shoemakers* case, which is considered a leading case on the other side, he said:

⁷⁵ This article, which deals with the Sherman Act only up to the time of its amendment by the Clayton Act, is planned as a part of a larger work, and it is in the decisions under the Clayton Act, to be treated in a later portion of this work, that this question became particularly prominent.

⁷⁶ 2 Daly 1 (N. Y. 1867).

⁷⁷ *Id.* at 5 (*italics added*).

"Much of what is here said is undoubtedly right, and it is forcibly put. Many of the reasons were applicable to the case before the court, which was correctly determined in accordance with the adjudged cases. The objection, however, is, that some of the propositions stated are not tenable, and that there is an omission throughout, to distinguish between what is entirely lawful for either journeymen or master workmen to do in their collective capacity, upon the subject of wages, and those unlawful combinations where the object is to control the rate of wages by the use of coercive measures."⁷⁸

In this connection we must recall that, as pointed out by Chief Justice Shaw in the passage quoted by us above from his opinion in *Commonwealth v. Hunt*,⁷⁹ the *Geneva Shoemakers* case was actually decided upon a construction of a New York statute and not under the common law. But in his opinion in that case, Chief Justice Savage had gone into a supposed examination of the common law which apparently led him to the conclusion that the combination before him would have been illegal at common law. It is because of this opinion rather than the decision itself that this case is supposed to be an authority for the proposition that at common law a combination of workmen to raise their wages was an indictable conspiracy. Referring to this disquisition on the common law, Judge Daly said:

"The Chief Justice admitted that he had found but few adjudications upon the subject, and that the offense of conspiracy had been left in greater uncertainty by the common law than most offenses. He remarked that precedents in the absence of adjudications were some evidence of what the law is, and he referred to several, but none of them warrant the conclusion that they were founded upon any rule of the common law. He referred to but two adjudged cases: *The King v. The Journeymen Tailors of Cambridge*, 8 Modern 11, *The Tub Women v. The Brewers of London*, the last of which cases, he says, has been cited as sound law by all subsequent criminal writers. There is no report of any case under such a name of *The Tub Women v. The Brewers of London*. It is merely mentioned by name in the case first above cited, as authority for the proposition that a conspiracy of any kind is illegal, though the matter about which the parties conspired might have been lawful for them, or any of them, to do, if they had not conspired to do it. The first volume of the Modern Reports, in which this reference is found, is one of the least reliable of the English reports, being full of inaccuracies, blunders, and misstatements. Burrows, in his reports, speaks of it as "a miserable, bad book", and says, that upon being cited, the Court of King's Bench treated it with the contempt that it deserved (1 Burr. 386; 3 id., 1326); and by an excellent authority upon the books of reports and their reporters, it is characterized by the epithet of execrable (Wallace's Common Law Reporters, 3 ed. p. 226). The title "*The Tub Women v. The Brewers of London*", is undoubtedly a mistake, and it has been conjectured that the case referred to is *The King v. Sterling and others*, reported in 1

⁷⁸ *Id.* at 5.

⁷⁹ See p. 41, *supra*.

Lev. 125; 1 Sid. 274; 1 Keb. 350. (See the conjectures of Mr. Emmett and of Mr. Sampson respecting it, in Yates' Select Cases, pp. 164, 211, 212). I entertain no doubt but that this conjecture is correct, and a brief statement of that case will suffice to show what was determined by it. The defendants—brewers of London—were found guilty of a conspiracy, for agreeing that they would brew no small beer—which was the drink of the poor—for a certain length of time, nor ale, except at a certain price, with the intent of moving the common people to pull down the excise-house and to bring the excisemen into public odium, that they might be impoverished and disabled from paying their rent to the government, to the diminution of the revenue; which was a very clear case of conspiracy, the design being to impair the public revenue, to *inflict pecuniary injury* upon the excisemen, and to stir up a public tumult. Assuming it to be, as I have no doubt it is, the case referred to under the supposititious title of "*The Tub Women v. Brewers of London*", it would have been more correct to have said that it warrants the conclusion that though the brewers, or any of them, had the right to cease brewing, or to raise the price of their ale, it was unlawful for them to combine to do so for such an object as the one above stated. The case is an authority simply for a familiar principle of the criminal law, that it is a conspiracy to combine to do a lawful act for an unlawful purpose, or by unlawful means.

"As respects the remaining case (*The King v. the Journeymen Tailors of Cambridge*), it is also found in this discredited volume of reports, in further condemnation of which I may cite the remark of an eminent English judge, Justice Wilmot, that, 'Nine cases out of ten in this book are totally mistaken' (*The King v. Harris*, 7 Term R. 238). But even the case, as reported there, affords no ground for the inference that there was any such rule at the common law as Chief Justice Savage supposed. In 1721, when the case was decided, there were acts of Parliament regulating the rate of wages. The defendants, according to the report, were indicted for refusing to work unless they received higher rates than the statute allowed. And, as far as can be gathered from the confused statement of the reporter, the conviction was held to be good, because they had conspired to raise their wages beyond what the law permitted. These early English statutes, regulating the price of labor, being wholly inapplicable to us in our colonial condition, were never in force in this country, and formed no part of the law of the Colony of New York, at the adoption of our State Constitution in 1777. This decision, therefore, was limited to England, *deriving its whole effect from the English statute, the provisions of which it was held the defendants had conspired to defeat.*"⁸⁰

In conclusion, Judge Daly invokes the authority of Chief Justice Gibson whose authority as a jurist stood second only, if at all, to that of Chief Justice Shaw:

"Chief Justice Gibson declared, in 1821, that it had *never been decided in England* that it was unlawful for journeymen to agree that they would not work, except for certain wages, or for master workmen to agree that they would not employ any journeymen, except at certain rates. And in corroboration of the statement of this very accurate and eminent jurist, I would add that

⁸⁰ 2 Daly at 5 *et seq.* (italics added).

I have examined down to the present time, and have found no case, either in this country or in England, in which any such decision has been rendered.”⁸¹

It is thus clear that by 1867 it had not only been established *as law* that strikes were not illegal as in restraint of trade, *but as history that they had never been illegal as restraints of trade at common law*. The historical truth on the subject was finally established in England by the appearance in 1883 of Sir James Stephen’s authoritative work on the history of the criminal law. So that for some time before 1890, when the Sherman Act was adopted, the law of our subject, as well as the history of that law, and the exact meaning of the terms used in the act, were familiar to all students of the subject. And there can be no doubt that when these well-known terms were put into the Sherman Act by Senator Hoar or his committee, and when he himself had stated to the United States Senate that the purpose of the Act was to put the old common law into a federal statute, the law that was in view was the law as we have ascertained it from our examination of the cases and no other.

In this connection, it must be emphasized that insofar as the question of restraints of trade is concerned, there is no difference between restraint by means of a strike or of a boycott—*i.e.*, the kind of boycott that was involved in the *Danbury Hatters’* case and not the kind of boycott of which Senator Edmunds spoke in his interview, namely, the closed shop. This is well-illustrated in the *Close* cases. While those cases were, as already pointed out, incorrectly decided not only in themselves but even under the decision in *Hilton v. Eckersley*, it must be admitted that their logic was correct: If it were true that labor disputes come within the domain of restraint of trade, then strikes must of necessity be illegal, and from that it necessarily follows that the carpenters’ union there involved was an illegal organization, since it avowedly fostered strikes. In other words, we cannot slide over the difficulty by the method applied by Chief Justice Fuller in the *Danbury Hatters’* case of forgetting about strikes and merely referring to involuntary restraints against third persons. The problem must be faced squarely, and a position taken thereon: Either labor disputes are within the meaning of the term “in restraint of trade” used in the Sherman Act, in which case strikes are as illegal as boycotts, or strikes are not included in that term, in which event boycotts directed against employers are likewise excluded. Our inquiry, we submit, has clearly established that at common law combinations to raise wages—*i.e.* strikes—were not considered *in restraint of trade*. It follows as a corollary

⁸¹ *Id.* at 7 (italics added).

that any other means of interference by employees with their employers as part of a labor dispute were not comprehended within that well-known and well-defined legal concept.

It follows as a necessary result of our entire inquiry that both, upon an independent examination into the meaning of the language of the Sherman Act as interpreted by the application of familiar canons of statutory interpretation, and upon an application to that Act of the interpretation finally placed upon it by the United States Supreme Court in its most carefully reasoned opinions prior to the adoption of the Clayton Act, the ordinary labor dispute is not within the purview of the Sherman Act.

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